

in tandem with the private sector to ensure innovative technologies can reach their potential.

Alongside these steps, the FCC and Congress should continue their broader efforts to foster investment and competition in communications. Open spectrum will flourish in a growing market.

A Near-Term Opportunity In 700 MHz

The forthcoming return of analog television spectrum provides an opportunity to put some of these policies into practice. Congress has directed the FCC to auction the 700 MHz spectrum now occupied by broadcast channels 60-69, though the auction has been delayed several times. Because of its propagation characteristics, the 700 MHz spectrum could make an excellent unlicensed wireless park, a scenario that simply could not be contemplated when the original plans for return of that spectrum were drawn up.

Congress should take advantage of the opportunity and designate some or all of the 700 MHz spectrum for unlicensed devices. As a transitional mechanism, the FCC could allow only underlay uses that do not intrude on incumbent licensees.

Conclusion

We are living under a faulty set of assumptions about spectrum. Licensing may have been the only viable approach in the 1920s, but it certainly isn't in the first years of the 21st century. We take it for granted that companies must pay for exclusive rights to spectrum, and that once they do, they must invest in significant infrastructure buildout to deliver services. We also take for granted a pervasive level of regulation on how spectrum is used, which would be intolerable for any other medium so connected to speech. We assume that market forces, if introduced into the wireless world at all, must be applied to choices among monopolists rather than free competition. We make these assumptions because we can't imagine the world being otherwise.